

Understanding Negative Amounts on the Printed Invoice

Explanation of the Description / Reference / Amount columns for hotel guests and management

1. What the invoice shows

MRK Hotels produces one invoice (A4 PDF) per reservation. Its body lists every posting from the guest folio in the order it was entered, in three columns:

Description	Reference	Amount
Room 204 · 2 nights	BK-2026-00144	200,000.00
Food & Beverage · ORD-MGH-2026-00144	ORD-MGH-2026-00144	52,000.00
Discount 10% loyalty	DIS-2026-0007	-20,000.00
Adjustment (rate correction)	ADJ-2026-0003	-8,500.00

Sample extract of an invoice item list. Negative amounts are shown in red / with a minus sign.

2. The rule: charges are positive, credits are negative

Every line in the Description / Reference / Amount list is a posting taken straight from the guest's folio. The folio keeps two kinds of entries:

- **Charges (positive amount).** Money added to the guest's bill: the room stay, food & beverage orders, laundry, extras and other services.
- **Credits (negative amount).** Money taken off the guest's bill: discounts, adjustments that reduce a charge, refunds and transfers of credit into the folio.
- **Complimentary inclusions.** Free items, shown with an amount of zero; their value is noted in the description for clarity.

So a large invoice with a minus sign is **not a mistake** — it is the hotel reducing the bill. Because every credit keeps its negative sign, adding the column always reproduces the guest's true folio balance exactly.

3. Where negative amounts come from

Invoice line	Meaning	Amount shown
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Discount	A reduction granted on the bill (e.g. loyalty, promotional, negotiated).	-
Adjustment	A correction to an earlier posting that lowers the charge.	-
Adjustment (increases)	Some corrections raise a charge; those stay positive.	+
Refund / Transfer-in	Credit returned to the guest or transferred into the folio.	-
Inclusion (complimentary)	Provided free of charge.	0 (value noted)

4. Worked example

Using the extract above, the invoice totals are reconciled this way:

Description	Reference	Amount
Room 204 · 2 nights	BK-2026-00144	200,000.00
Food & Beverage	ORD-MGH-2026-00144	52,000.00
Discount 10% loyalty	DIS-2026-0007	-20,000.00
Adjustment (rate correction)	ADJ-2026-0003	-8,500.00
Bill total (net of credits)		223,500.00
Paid (deposit + payments)		200,000.00
Remaining balance		23,500.00

200,000.00 + 52,000.00 – 20,000.00 – 8,500.00 = 223,500.00. The credits therefore are a genuine part of the arithmetic: if they were dropped, the invoice would over-charge the guest.

5. Frequently asked questions

- **Is a negative amount an overcharge?** No. It is the opposite — a discount, correction or refund that reduces what the guest owes. Overpayments never produce a negative balance on invoice paper; a paid-in-full invoice shows a zero balance.
 - **Why doesn't the invoice just show 'discount' as a positive line?** Keeping credits signed preserves the exact folio trail, so the numbers on the invoice always match the folio seen at reception.
 - **Can a guest verify a negative line?** Yes — the reference on the line identifies the discount or adjustment posting, which the hotel can pull up at any time.
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MRK Hotels — Hotel Management System. This document explains the Description / Reference / Amount columns on the guest folio invoice and the meaning of negative amounts (credits).

Prepared for client communication · System reference: Guest Folio / Finance Invoice module.